

Week 6

Pricing:

Understanding and Capturing Customer Value

Outline

- Understand the objectives that guide pricing strategies
 - Analyze demand to inform the development of an appropriate pricing strategy
 - Describe the principles of pricing based on cost and revenue analysis
 - Explain the role of competitive analysis in determining pricing
- Appreciate the issues involved in pricing for business markets
- Understand how to manage prices as part of the marketing mix

Pricing: Understanding and Capturing Customer Value

Topic Outline

- What Is a Price?
- Major Pricing Strategies
- Other Internal and External Considerations Affecting Price Decisions

What Is a Price?

Price is the amount of money charged for a product or service. **It is the sum of all the values** that consumers give up in order to gain the benefits of having or using a product or service.

Price is the only element in the marketing mix **that produces revenue**; all other elements represent costs

Price and Value

What's the most you
will pay for a pair of
jeans?



Major Pricing Strategies

If customers perceive that a product's price is greater than its value, they won't buy it. If the company prices the product below its costs, profits will suffer. Between the two extremes, the "right" pricing strategy is one that delivers both value to the customer and profits to the company.



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Major Pricing Strategies

Customer Value-Based Pricing

Value-based pricing uses the buyers' perceptions of value, not the sellers cost, as the key to pricing

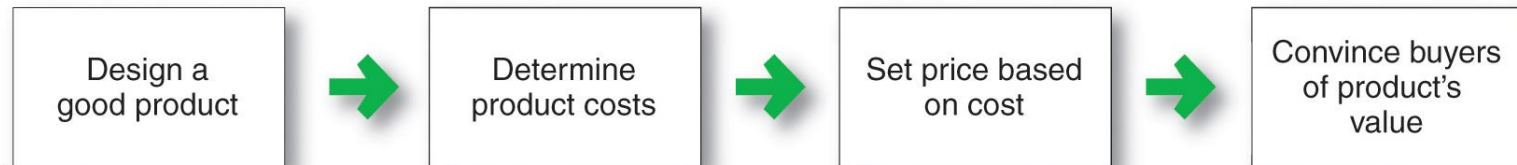
- Value-based pricing is customer driven
- Cost-based pricing is product driven
- Price is considered before the marketing program is set



Major Pricing Strategies

Customer Value-Based Pricing

Cost-based pricing



Value-based pricing



Factors to Consider When Setting Prices

Customer Perceptions of Value

Value-based pricing

Good-value pricing

Value-added pricing

Major Pricing Strategies

Customer Value-Based Pricing

Good-value pricing

offers the right combination of quality and good service at a fair price

Existing brands are being redesigned to offer more quality for a given price or the same quality for less price

Major Pricing Strategies

Customer Value-Based Pricing

Everyday low pricing (EDLP) charging a constant everyday low price with few or no temporary price discounts

Major Pricing Strategies

Customer Value-Based Pricing

High-low pricing charging higher prices on an everyday basis but running frequent promotions to lower prices temporarily on selected items

Major Pricing Strategies

Customer Value-Based Pricing

- **Value-added pricing** attaches value-added features and services to differentiate offers, support higher prices, and build pricing power
- **Pricing power** is the ability to escape price competition and to justify higher prices and margins without losing market share

Major Pricing Strategies

Cost-Based Pricing

Cost-based pricing setting prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for effort and risk

Cost-based pricing adds a standard markup to the cost of the product

Major Pricing Strategies

Cost-Based Pricing

Fixed costs are the costs that do not vary with production or sales level

- Rent
- Heat
- Interest
- Executive salaries

Major Pricing Strategies

Cost-Based Pricing

Variable costs are the costs that vary with the level of production

- Packaging
- Raw materials

Major Pricing Strategies

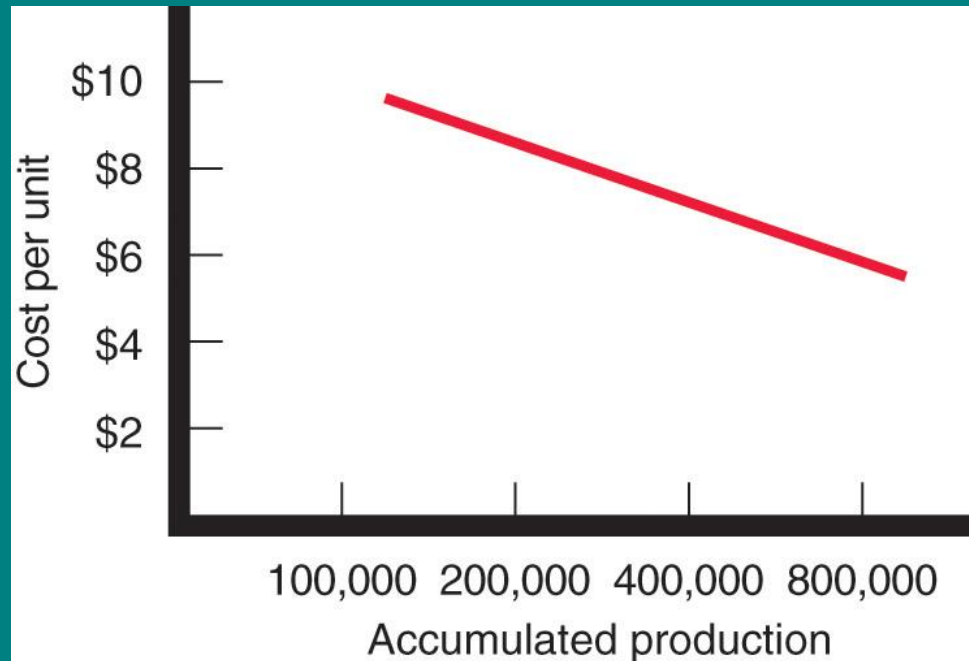
Cost-Based Pricing

Total costs are the sum of the fixed and variable costs for any given level of production

Major Pricing Strategies

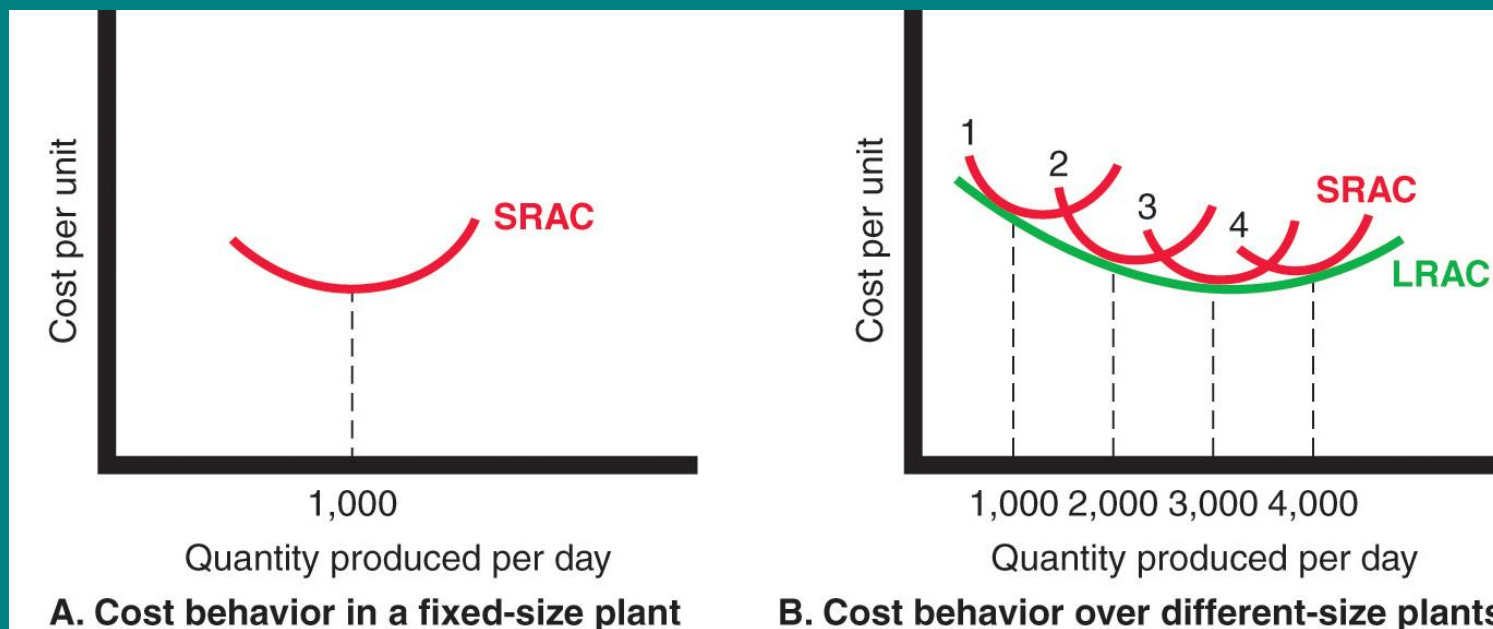
Costs as a Function of Production Experience

Experience or learning curve is when average cost falls as production increases **because fixed costs are spread over more units**



Major Pricing Strategies

Costs as a Function of Production Experience



Short-run average cost (SRAC) curve & long-run average cost (LRAC)

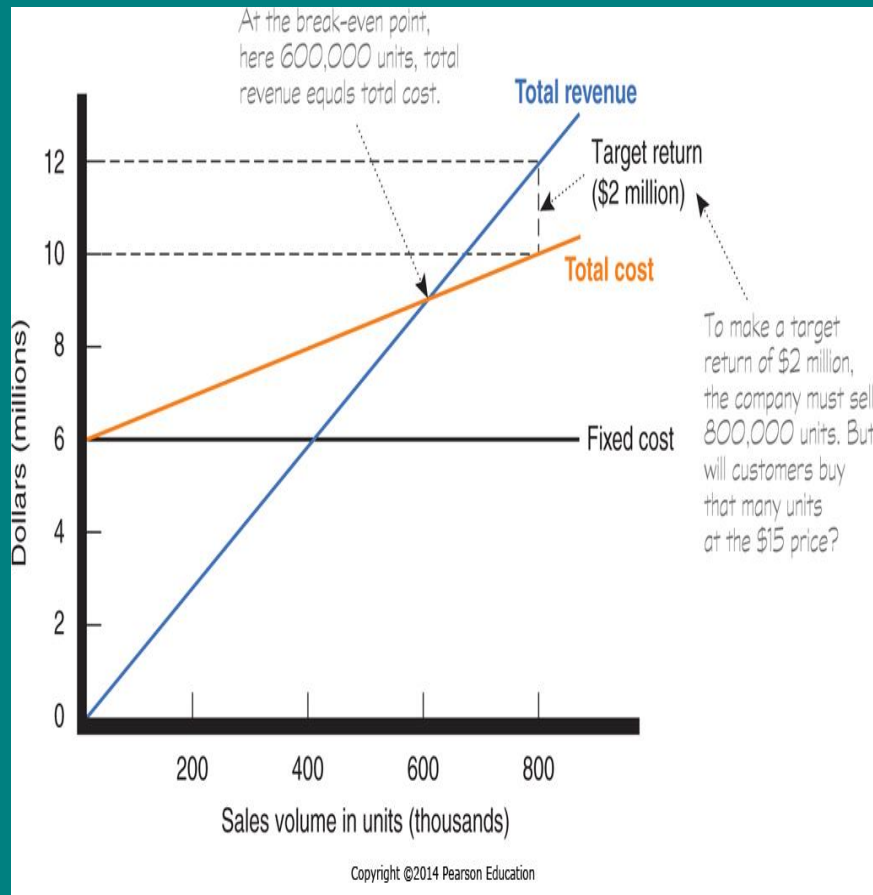
Major Pricing Strategies

Cost-Plus Pricing

- Cost-plus pricing adds a standard markup to the cost of the product
- Benefits
 - Sellers are certain about costs
 - Prices are similar in industry and price competition is minimized
 - Buyers feel it is fair
- Disadvantages
 - Ignores demand and competitor prices

Major Pricing Strategies

Break-Even Analysis and Target Profit Pricing



Break-even pricing is the price at which total costs are equal to total revenue and there is no profit

Target return pricing is the price at which the firm will break even or make the profit it's seeking

Break Even Analysis

Total Variable Cost = Variable Cost per unit X Quantity

Total Cost = Fixed Cost + Total Variable Cost

Total Revenue = Price X Quantity

$$\text{Break-Even Point (units)} = \frac{\text{Fixed Costs}}{\text{price} - \text{variable cost}}$$



Markup pricing: a standard markup to the products' cost

<i>Variable cost per unit</i>	<i>¥10</i>
<i>Fixed cost</i>	<i>¥300,000</i>
<i>Expected unit sales</i>	<i>¥50,000</i>

$$\text{Unit cost} = \text{Variable cost} + \frac{\text{Fixed cost}}{\text{Unit sales}} = 10 + \frac{30,000}{50,000} = 16$$

$$\text{Markup price} = \frac{\text{Unit cost}}{(1 - \text{desired return on sales})} = \frac{16}{1 - 0.2} = 20$$



Major Pricing Strategies

Competition-based pricing

- Setting prices based on competitors' strategies, costs, prices, and market offerings.
- Consumers will base their judgments of a product's value on the prices that competitors charge for similar products.

Considerations Affecting Price Decisions

The Market and Demand

- Before setting prices, the marketer must understand the relationship between price and demand for its products



Considerations Affecting Price Decisions

The demand curve shows the number of units the market will buy in a given period at different prices

- Normally, demand and price are inversely related
- Higher price = lower demand
- For prestige (luxury) goods, higher price can equal higher demand when consumers perceive higher prices as higher quality

Considerations Affecting Price Decisions

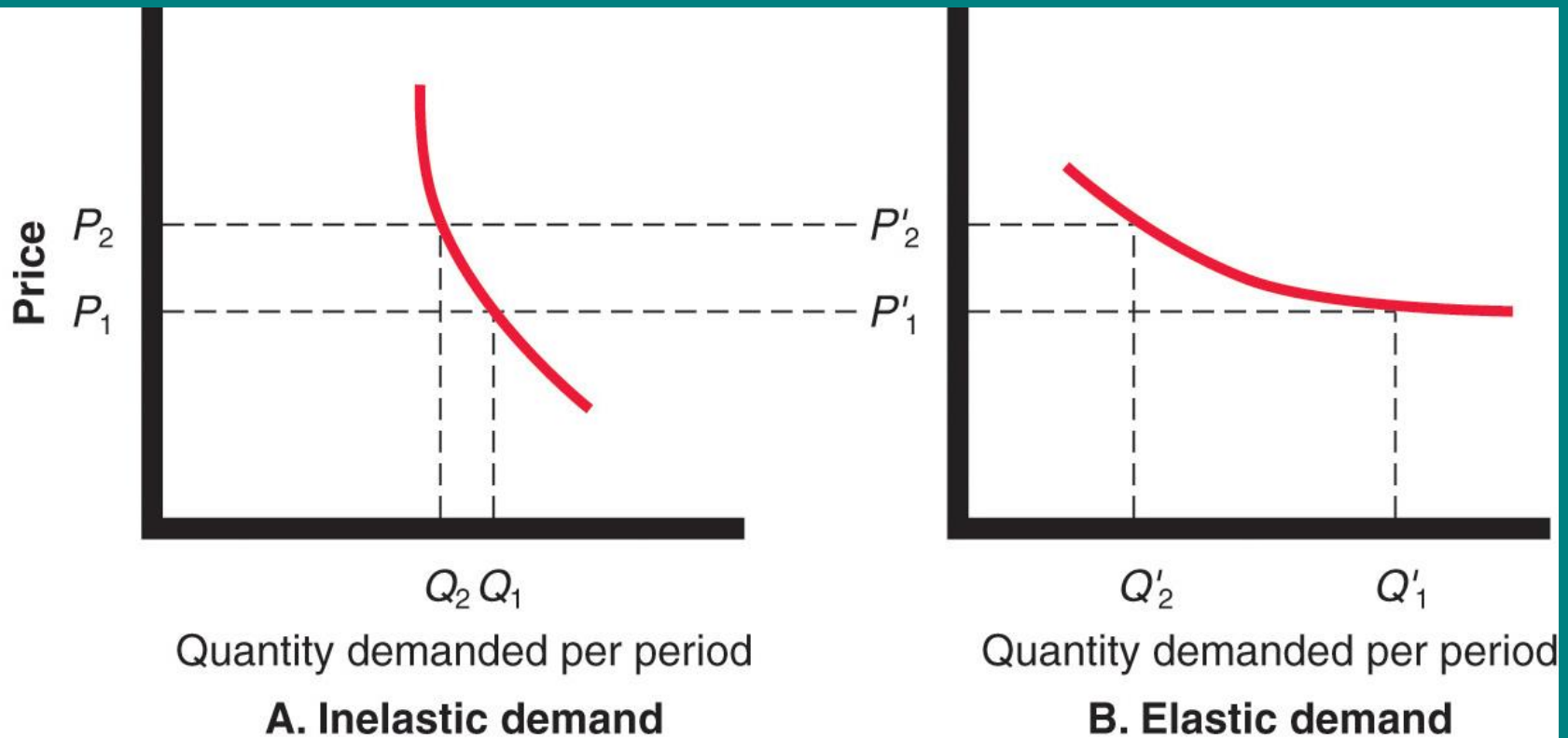
Price elasticity of demand illustrates the response of demand to a change in price

Inelastic demand occurs when demand hardly changes when there is a small change in price

Elastic demand occurs when demand changes greatly for a small change in price

$$\text{Price elasticity of demand} = \frac{\% \text{ change in quantity demand}}{\% \text{ change in price}}$$

Considerations Affecting Price Decisions



Tutorial A

Activity

Focus Question 1 with extension application

Background: In this activity we will look at ways customer's value perceptions of price are influenced.

Task:

1. Outline some ways in which a marketer can influence / manage a customer's perception of price
2. Consider the below advertisements and determine what are the influence-approaches used.

Advert 1:

Tutorial A

Focus Question 2 with extension application

Background: In this activity, we will reinforce our knowledge of price elasticity of demand.

Task:

1. Individually, list two products with elastic demand and two with inelastic demand.
2. Together we will determine if they are correctly listed and discuss what makes them fitting within each category.
3. Determine if your assigned Kickstarter product is an elastic or inelastic product. Justify your response. Make sure to include the implications of pricing in your response.

Duration: 20 minutes

Resources: E-device to access your Canvas course and take notes! 

Prepare for the next class

Activity

Case Study Application

Background: In this activity we will evaluate price and other marketing considerations in a real-world context.

Task: Refer to your 'prepare to engage' readings - Netflix Case Study, then answer the below questions;

1. Based on your case study reading, what factors do you believe influence Netflix customers?
2. In 2010 Netflix increased their price from \$10 a month to \$16 a month. As a result, they lost 800,000 subscribers. Is this an elastic or inelastic response? Justify your answer.
3. Why do you think Netflix succeeded in 2017 with their price increase while still managing to grow their revenues? Consider all aspects of price strategy and how it may relate to consumer behaviour

>> Prepare to share your answers and findings.

Pricing Strategies

Topic Outline

- New-Product Pricing Strategies
- Product Mix Pricing Strategies
- Price Adjustment Strategies
- Price Changes

think

Is it smarter to save money on a printer or save money on ink?
(Hint: you only buy the printer once)

With revolutionary, new KODAK EASYSHARE All-in-One Printers, you can **SAVE UP TO 50% ON EVERYTHING YOU PRINT** compared to similar consumer inkjet printers.*

Imagine paying less for ink and printing more than ever before. Imagine printing 4"x6" color photos for as little as 10 cents a photo.** Now, you can—at the touch of a button.

Welcome to printing made honest.

A Kodak EASYSHARE All-in-One Printer is shown next to two ink cartridges. A red circular badge next to the color cartridge says '3-ink color cartridges \$14.99 MSRP'. A red circular badge next to the black cartridge says 'Black ink cartridges \$9.99 MSRP'. Both cartridges also feature a '50%' discount badge.

Kodak

BEST BUY

Available now exclusively at Best Buy stores and BestBuy.com. Stop in for a demo today.

* Savings based on lowest available price of consumables and photos, using average ink costs of comparable consumer inkjet printers. Actual results may vary. For more information, visit www.kodak.com/ink. ** Savings based on average cost of 100 prints per page (CPP) of Kodak EASYSHARE All-in-One Printers. Actual results may vary.

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Pricing strategies

Pricing goals and profit

- What is the purpose of pricing strategies?
 - Positioning and Marketing mix
 - Willingness and ability to pay

New-Product Pricing Strategies

Market-skimming pricing is a strategy with high initial prices to “skim” revenue layers from the market

- Product quality and image must support the price
- Buyers must want the product at the price
- Costs of producing the product in small volume should not cancel the advantage of higher prices
- Competitors should not be able to enter the market easily

New-Product Pricing Strategies

Market-penetration pricing sets a low initial price in order to penetrate the market quickly and deeply to attract a large number of buyers quickly to gain market share

- Price sensitive market
- Inverse relationship of production and distribution cost to sales growth
- Low prices must keep competition out of the market

Product Mix Pricing Strategies

**Product
line pricing**

**Optional-
product
pricing**

**Captive-
product
pricing**

**By-product
pricing**

**Product
bundle
pricing**

Product Mix Pricing Strategies

Product line pricing takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices

Optional-product pricing takes into account optional or accessory products along with the main product

Product Mix Pricing Strategies

Captive-product pricing involves products that must be used along with the main product

- **Two-part pricing** involves breaking the price into:
 - Fixed fee
 - Variable usage fee

Price Mix Pricing Strategies

Pricing Strategies

By-product pricing refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

a manufacturer will seek a market for by-products and should accept any price that covers more than the cost of storing and delivering them

Price Mix Pricing Strategies

Product bundle pricing combines several products at a reduced price

Price bundling can promote the sales of products consumers might not otherwise buy, but the combined price must be low enough to get them to buy the bundle.

Price-Adjustment Strategies

**Discount and
allowance
pricing**

**Segmented
pricing**

**Psychological
pricing**

**Promotional
pricing**

**Geographic
pricing**

**Dynamic
pricing**

**International
pricing**

Price-Adjustment Strategies

- Discount and allowance pricing** reduces prices to reward customer responses such as paying early or promoting the product
- Discounts—cash, quantity, trade, seasonal
 - Allowances—trade-in, promotional

Price-Adjustment Strategies

Pricing Strategies

discount

Cash discount a price reduction to buyers who pay their bills promptly

Quantity discount is a price reduction to buyers who buy large volumes.

functional discount is offered by the seller to **trade-channel members** who perform certain functions, such as selling, storing, and record keeping.

seasonal discount is a price reduction to buyers who buy merchandise or services **out of season.**

Price-Adjustment Strategies

Pricing Strategies

Allowances

Trade-in allowances are price reductions given for **turning in an old item** when buying a new one.

Promotional allowances are payments or price reductions to **reward dealers** for participating in advertising and sales support programs.

- H&M旧衣回收计划
已在全国各家门店全面展开！赶紧收拾出被你遗忘在衣橱角落的旧衣，你所交出的每一袋衣服（不少于三件旧衣服）都能换取一张八五折购物优惠券（每人每天最多可捐赠两袋闲置服装，接受任意品牌、品质的闲置衣物）



酒干倘卖无
旧衣成H&M新宠

通过鼓励回收旧品，H&M希望能带动新品销量
“这会吸引人们光顾商店。绿色项目往往跟商业目标如影随形”

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或搜 ahjhcb

Q好玩 Q好看



Price-Adjustment Strategies



Segmented pricing is used when a company sells a product at two or more prices even though the difference is not based on cost

Price-Adjustment Strategies

Segmented Pricing

- Customer-segment pricing
- Product-form pricing
- Location-based pricing
- Time-based pricing

Price-Adjustment Strategies

Segmented Pricing

To be effective:

- Market must be segmentable
- Segments must show different degrees of demand
- Costs of segmenting and reaching the market cannot exceed the extra revenue obtained from the price difference
- Must be legal

Price-Adjustment Strategies

Psychological pricing occurs when sellers consider the psychology of prices and not simply the economics

Reference prices are prices that buyers carry in their minds and refer to when looking at a given product

- Noting current prices
- Remembering past prices
- Assessing the buying situations

Consumer Psychology

Reference price

What's the price of the last toothpaste you purchased?

If you can't accurately recall price of the product, how do you decide whether it's good price or not?

Internal reference

*External
frame/reference*

Consumer Psychology

Price Endings

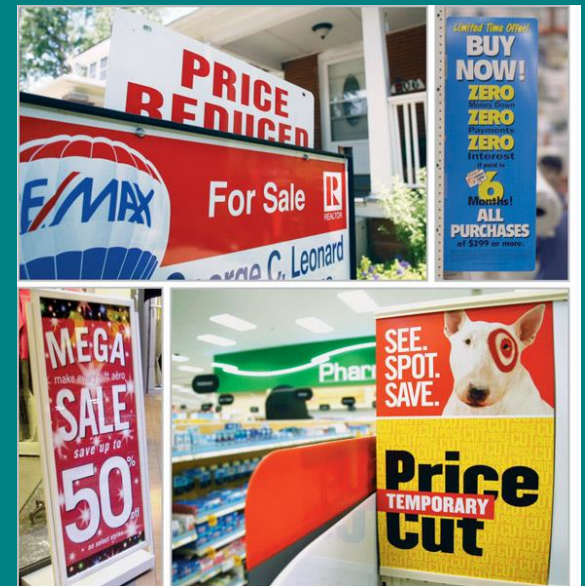
Not only the real price matters. Perception of the price matters, too.



Price-Adjustment Strategies

Promotional pricing is when prices are temporarily priced below list price or cost to increase demand

- Loss leaders
- Special event pricing
- Cash rebates
- Low-interest financing
- Longer warranties
- Free maintenance



Price-Adjustment Strategies

Risks of promotional pricing

- Used too frequently, and copied by competitors, can create “deal-prone” customers who will wait for promotions and avoid buying at regular price
- Can erode brand value in eyes of customers
- Creates price wars

Price-Adjustment Strategies

Geographical pricing is used for customers in different parts of the country or the world

- FOB-origin pricing
- Uniform-delivered pricing
- Zone pricing
- Basing-point pricing
- Freight-absorption pricing

Price-Adjustment Strategies

Dynamic and Internet Pricing

Dynamic pricing is when prices are adjusted continually to meet the characteristics and needs of the individual customer and situations



Price-Adjustment Strategies

International pricing is when prices are set in a specific country based on country-specific factors

- Economic conditions
- Competitive conditions
- Laws and regulations
- Infrastructure
- Company marketing objective



Price Changes

Initiating Pricing Changes

Price cuts occur due to:

- Excess capacity
- Increased market share

Price increase from:

- Cost inflation
- Increased demand
- Lack of supply

Price Changes

Buyer Reactions to Pricing Changes

Price increases

- Product is “hot”
- Company greedy

Price cuts

- New models will be available
- Models are not selling well
- Quality issues

Price Changes

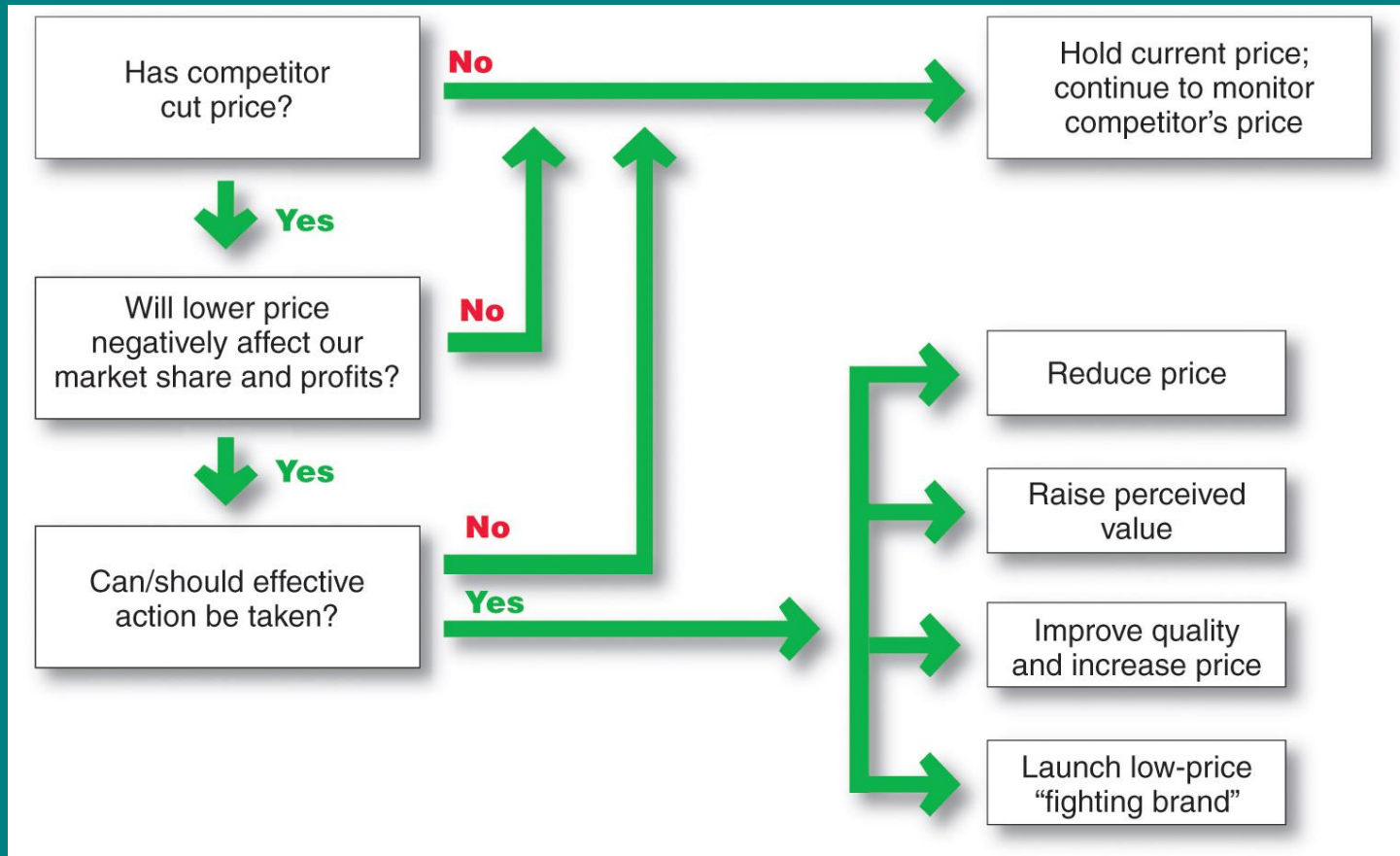
Responding to Price Changes

Questions

- Why did the competitor change the price?
- Is the price cut permanent or temporary?
- What is the effect on market share and profits?
- Will competitors respond?

Price Changes

Responding to Price Changes



Price Changes

Responding to Price Changes

Solutions

- Reduce price to match competition
- Maintain price but raise the perceived value through communications
- Improve quality and increase price
- Launch a lower-price “fighting” brand

Tutorial B

Activity

Case Study Application

Background: In this activity we will evaluate price and other marketing considerations in a real-world context.

Task: Refer to your 'prepare to engage' readings - Netflix Case Study, then answer the below questions;

1. Based on your case study reading, what factors do you believe influence Netflix customers?
2. In 2010 Netflix increased their price from \$10 a month to \$16 a month. As a result, they lost 800,000 subscribers. Is this an elastic or inelastic response? Justify your answer.
3. Why do you think Netflix succeeded in 2017 with their price increase while still managing to grow their revenues? Consider all aspects of price strategy and how it may relate to consumer behaviour

>> Prepare to share your answers and findings.

After the class



Activity

Working on your assignment - Price method and price strategy

Below are instructions to the activity.

Background: In this activity, you and your group members will work on determining a complete application of the required price methods and price strategies for your Kickstarter product.

Task: Group up and collaboratively complete the below sections relating to your IMC Group Presentation application of the price methods and price strategies:

1. Determine your Price method - (*demand-based, cost-based, competition-based*) and justify the considerations using research-based evidence.

After the class

Determine your Price management strategies:

a) Psychological: (*Odd-even, Reference, Multiple unit, Bundle*)

b) PLC *considerations: (*Penetration, skimming, differential, promotional*) *Consider the PLC as it relates to the product itself rather than the industry.

3. Decide on a recommended retail price for your product. Make sure it compliments all your price strategies.

- Share your responses with your class tutor for feedback
- Go to your Canvas Group Page and create a new discussion titled "PRICE".
- Post / upload this into your Canvas group page > discussions, once you have finalised all edits.